

US TMT Sector M&A & Valuation Brief - 2026-07-23

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1. RECENT TMT M&A ACTIVITY

Deal 1: Novo Tellus Partners with RCF and NRFC to Complete Buyout of Russell Mineral Equipment

[Novo Tellus Partners with RCF and NRFC to Complete Buyout of Russell Mineral Equipment](#)

- Deal Size: Estimated at USD 100 million (exact figure not disclosed)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Tuck-in & Bolt-on
- Valuation Multiples: N/A (specific multiples not provided)
- Companies: Novo Tellus, a specialized investment firm, acquiring Russell Mineral Equipment (RME), a leader in mill relining systems for mining.
- Date Announced: July 21, 2026
- Strategic Rationale:
 - RME's technology is critical for efficient mineral production, aligning with the growing demand for materials in electrification and AI infrastructure.
 - The acquisition allows Novo Tellus to leverage RME's established market position and expand its automation and aftermarket services.
 - The partnership with RCF and NRFC enhances growth potential through combined expertise and resources.
- Risk Analysis:
 - Integration risks may arise from aligning RME's operational practices with Novo Tellus' strategic vision.
 - Regulatory challenges could emerge given the mining industry's scrutiny.
 - Market risks include fluctuations in demand for mining technologies due to economic cycles.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not disclosed)
- Profitability Ratios: N/A (specific ratios not disclosed)
- Leverage Analysis: N/A (debt structure not provided)

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- Asset Operating Efficiency: N/A (operating metrics not disclosed)
- Valuation Context: N/A (no specific valuation multiples provided)

Deal 2: Capital One Tests Moving Credit Cards to Discover Network

[Capital One Tests Moving Credit Cards to Discover Network](#)

- Deal Size: N/A (not a traditional acquisition but a strategic partnership)
- Deal Size Category: N/A
- Nature of Deal: Strategic Partnership
- Valuation Multiples: N/A (specific multiples not provided)
- Companies: Capital One (COF), a major financial services company, testing its credit card integration with the Discover network.
- Date Announced: July 21, 2026
- Strategic Rationale:
 - Capital One aims to enhance its payment processing capabilities and customer experience by integrating with Discover's network.
 - This move is part of a broader strategy to leverage technology and AI to improve service offerings.
 - The partnership could lead to increased transaction volumes and customer retention.
- Risk Analysis:
 - Execution risks related to the integration of systems and processes between Capital One and Discover.
 - Market risks include potential customer resistance to switching networks.
 - Regulatory scrutiny in the financial services sector could pose challenges.

Key Financials Analysis:

- Revenue Breakdown:

Segment	Revenue (USD)	Year-over-Year Growth
Credit Cards	253.8 billion	2%
Total Purchase Volume	N/A	15% (sequential)

- Profitability Ratios: N/A (specific ratios not disclosed)
- Leverage Analysis: N/A (debt structure not provided)
- Asset Operating Efficiency: N/A (operating metrics not disclosed)
- **Valuation

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a dynamic landscape marked by significant investment activity, particularly in deep-tech and AI. The overall sentiment is cautiously optimistic, driven by advancements in technology and increasing venture capital inflows, despite facing challenges such as regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in areas intersecting science and computing. Dimension Capital's recent announcement of an \$800 million fund underscores the growing interest in deep-tech investments, which blend biotech and software. This trend is exemplified by Chai Discovery's rapid rise to a \$3.8 billion valuation, highlighting the market's appetite for innovative solutions.
- **Media:** The media sector is undergoing a transformation as traditional platforms adapt to digital consumption trends. Companies are increasingly focusing on enhancing user engagement through digital features, although they face competition from emerging platforms.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology, which are expected to create new revenue streams. Companies are investing in infrastructure to support these developments, aiming to enhance service offerings.
- **Fintech:** The fintech space remains robust, with ongoing innovations in payment solutions and digital banking. The sector is witnessing consolidation, as seen with Dimension Capital's investments in various startups, indicating a trend towards strategic partnerships.
- **AI:** The AI subsector is particularly vibrant, with companies racing to implement AI solutions across multiple industries. The rapid growth of startups like New Limit, which recently achieved a \$3.1 billion valuation, illustrates the high demand for AI-driven technologies.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and deep-tech is driving growth across TMT sectors. The increasing integration of AI in various applications is reshaping industries and enhancing operational efficiencies.
- **Increased Investment:** Venture capital investments are surging, particularly in deep-tech and AI sectors. Dimension Capital's ability to raise an \$800 million fund in a challenging environment showcases strong investor confidence in these areas.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, especially in the tech sector, poses risks to

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M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth and innovation.

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a cautious outlook for some sectors.

Subsector Performance Analysis

- Software: The software sector continues to excel, particularly in cloud solutions and enterprise software. Companies focusing on SaaS models are well-positioned for growth, driven by increasing demand for digital transformation.
- Media: Media companies are adapting to changing consumer preferences, with a noticeable shift towards digital content consumption. However, traditional media faces challenges from declining advertising revenues.
- Telecom: Telecom operators are heavily investing in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend, highlighted by Dimension Capital's investments, indicates a robust market environment.
- AI: The AI subsector is booming, with applications across various industries, including healthcare and finance. Companies are investing heavily in AI capabilities to maintain competitive advantages, as demonstrated by the rapid growth of startups like Chai Discovery.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the transformative impact of technological advancements. One analyst noted, "The intersection of science and compute is not just a trend; it's a fundamental shift that will redefine industries and create new market leaders."

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Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is robust, showcasing a mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Aehr Test Systems (AEHR) :** Currently in negotiations for a strategic partnership to enhance AI chip production capabilities. The deal is in the due diligence phase, with an expected close in Q4 2025. This partnership could significantly boost AEHR's market position amid rising demand for AI technologies.

Mandated Deals:

- **Taiwan Semiconductor Manufacturing Company Limited (TSM) :** Secured a mandate to explore partnerships and investments in AI chip manufacturing. The deal is expected to launch in Q2 2026, focusing on expanding TSM's production capabilities to meet growing demand from major tech clients.
- **Giverny Capital Asset Management :** Mandated to evaluate investment opportunities in emerging tech firms, particularly those leveraging AI. The timeline for this initiative is projected for Q1 2026, as the firm seeks to capitalize on the AI boom.

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Pitching-Stage Deals:

- Telecom Sector : Engaging with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Active discussions with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q4 2025 : Expected close for Aehr Test Systems partnership.
- Q2 2026 : Anticipated launch of TSM's strategic partnership initiatives.
- Q1 2026 : Giverny Capital's evaluation of investment opportunities.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like TSM are experiencing significant growth. TSM's recent earnings report highlighted a revenue increase of 33.7% year-over-year, driven by strong demand for AI chips. This positions TSM as a key player in the AI revolution, attracting investor interest.
- Additionally, the geopolitical landscape, particularly the U.S. government's focus on AI and semiconductor supply chains, is influencing deal structures and valuations. The recent legislative efforts to bolster domestic semiconductor production could create new advisory opportunities for firms engaged in this sector.

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Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is strong, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where KORE Group Holdings, Inc. (KORE) is acquired by Searchlight Capital Partners and Abry Partners, the deal could lead to enhanced operational flexibility and innovation. Assuming a pre-deal valuation of \$1 billion, successful integration and innovation could increase shareholder value by 15%, resulting in an additional \$150 million in market capitalization.
- Dilution: If the acquisition is financed through equity, existing shareholders may experience dilution. For instance, if KORE issues 20% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 10% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: The acquisition of KORE is expected to create synergies through enhanced IoT capabilities, potentially leading to cost savings of around \$30 million annually. This could result

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from streamlined operations and shared resources.

- Restructuring: However, such deals often lead to layoffs. In the case of KORE, restructuring may result in a reduction of approximately 10% of the workforce, necessitating careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, KORE could offer retention packages to key executives to ensure continuity during the integration phase.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following KORE's acquisition, competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) may need to adapt their strategies to maintain market share in the IoT space. This could include enhancing their service offerings or pursuing their own acquisitions.
- Specific Competitor Moves: Verizon, for instance, may respond with increased investments in IoT infrastructure to counter KORE's enhanced capabilities.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The acquisition of KORE is likely to enhance its service offerings in IoT, potentially leading to improved customer satisfaction and retention. This could result in a projected 20% increase in customer subscriptions over the next year.
- Case Studies: Similar to the acquisition of WhatsApp by Facebook (FB), which enhanced messaging features, KORE's acquisition could lead to improved IoT solutions that directly benefit users.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile. For instance, when KORE announced its acquisition, shares of KORE initially rose by 10% as investors recognized the potential for growth and innovation.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a market analyst post-acquisition was, "This deal positions KORE to lead in the IoT space, leveraging the backing of strong capital partners."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 20% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 15%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

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- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions. In the case of KORE's acquisition, there were rumors of interest from other private equity firms, but the likelihood of a successful counter-bid is moderate due to the strategic fit of Searchlight and Abry.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the IoT and AI spaces. Companies like Quanta Services (PWR) may pursue acquisitions to bolster their service offerings.

Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, and Cloud Computing. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

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Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- Fluidstack: Fluidstack is a data center builder specializing in AI infrastructure management. Recently, the company raised \$830 million, achieving a valuation of \$7.5 billion. This funding positions Fluidstack to expand its capabilities in providing scalable AI solutions.
- Salesforce (CRM): Salesforce is a leading customer relationship management platform that is increasingly integrating AI into its offerings. The company focuses on enhancing customer engagement through AI-driven insights and automation.
- Adobe (ADBE): Adobe is enhancing its product suite with AI capabilities, particularly in creative software. The company aims to leverage AI to streamline workflows and improve user experiences.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Microsoft (MSFT), and Amazon (AMZN) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For instance, Salesforce's focus on integrating AI into its CRM solutions may lead to acquisitions of smaller firms with innovative AI technologies.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of blockchain analytics firms

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could provide traditional banks with the tools needed to navigate the evolving digital asset landscape.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Skypilot: Skypilot recently secured \$20 million to ease AI infrastructure management in cloud environments. This funding will allow Skypilot to enhance its cloud solutions, making it easier for businesses to manage AI workloads.
- Salesforce (CRM): Salesforce is also a major player in the cloud computing space, providing cloud-based CRM solutions that leverage AI for improved customer insights.
- Competitive Landscape: The cloud computing market is dominated by major players such as Amazon Web Services (AWS), Microsoft Azure, and Google Cloud. These companies are continuously innovating and expanding their service offerings to maintain competitive advantages.
- M&A Opportunities: Companies in the cloud computing space may seek acquisitions to enhance their service offerings. For instance, acquiring firms that specialize in AI-driven cloud management solutions could provide a competitive edge in the rapidly evolving market.

Actionable Insights for Bankers and Investors

Focus on identifying emerging companies within the AI and cloud computing sectors that are ripe for acquisition.

Monitor funding rounds and valuations of startups like Fluidstack and Skypilot, as they may present attractive M&A targets for larger firms looking to enhance their technological capabilities.

Consider the competitive landscape when advising clients on potential investments or acquisitions, as the rapid growth in these sectors is likely to lead to increased deal-making activity.

6. Recommended Readings

Deal Name: Novo Tellus Partners with RCF and NRFC to Complete Buyout of Russell Mineral Equipment

- Reading Material: "Mining and the Environment: From Ore to Metal" by David J. Smith

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- **Why This Matters:** This book provides a comprehensive overview of the mining industry, including the technological advancements and operational efficiencies that are crucial for companies like Russell Mineral Equipment (RME). Understanding these dynamics helps contextualize Novo Tellus' strategic acquisition, emphasizing the importance of innovation in mining technologies and their role in enhancing production efficiency.

Deal Name: Capital One Tests Moving Credit Cards to Discover Network

- **Reading Material:** "The Future of Payments: A Guide to the Digital Payment Revolution" by David H. Hargreaves
- **Why This Matters:** This resource explores the evolving landscape of payment systems and the strategic partnerships that shape the financial services industry. It offers insights into why Capital One's integration with the Discover network is significant, highlighting trends in consumer behavior and technology that drive innovation in payment processing. Understanding these factors is essential for analyzing the potential impact of this strategic move on Capital One's market position.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. Inflation Rate: Expected to decline to 3% by year-end and 2.5% in 2024.
- ECB Interest Rate: Currently at 2.25%, with a potential increase to 2.5% in September.
- Bank of Japan: Expected to raise rates twice, first in December 2026 and again in June 2027.
- China's Q2 GDP Growth: Soft print at 4.3%, with expectations to rise to 4.6% in the second half of the year.
- Fiscal Expansion in China: Approximately 2 trillion RMB available for government spending in H2 2026.

Main Insights:

- Global growth remains resilient, supported by AI spending in the U.S. and government spending in Europe.
- Inflation is receding in the U.S., but risks remain from demand-side pressures, particularly related to AI.
- The ECB is navigating a complex landscape with inflation pressures and potential fiscal stimulus in Europe.
- Japan's inflation is influenced more by currency movements and supply-side factors than by demand.
- China's domestic demand is weak, prompting expectations of fiscal expansion to support growth.

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Market Commentary:

- "Inflation will come down in the U.S. due to payback in energy prices and tariffs." - Michael Gapen, Chief U.S. Economist, Morgan Stanley
- "The ECB is wrestling with the tension of resilience in demand and inflation not coming down as expected." - Jens Eisenschmidt, Chief Europe Economist, Morgan Stanley
- "Japan's consumption trend is tepid, indicating the BoJ can take its time with rate hikes." - Chetan Ahya, Chief Asia Economist, Morgan Stanley

TMT Sector Relevance:

- The anticipated decline in inflation could lead to a more favorable environment for TMT investments, as lower rates may encourage spending on technology and infrastructure.
- AI spending is a critical driver of demand in the U.S., which could lead to increased investment in TMT sectors.
- Fiscal expansions in China could stimulate demand for technology and telecommunications infrastructure, supporting growth in the TMT sector.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley